microfinance firms and lower interest rates, thus freeing many poor borrowers from the clutches of usurious moneylenders.

The company claimed to be driven by the lofty ideal of helping the poor through credit even as it tried to revolutionize the MFI landscape in India and helped investors make money in the process. Many an investor must have likely believed there was nothing better than putting money in such an IPO, as it would be a shot at making good money while also supporting a noble cause. It was for the first time that investors were being served a potent cocktail of capitalism and altruism on Dalal Street, and everybody wanted a draught of it.

The pre-IPO investors in the company included big names like Quantum, managed by the legendary trader George Soros, and Catamaran Investments, promoted by Infosys founder N. R. Narayana Murthy.

What did not fetch as much publicity was the sale of shares held in the form of stock options by the SKS management ahead of the IPO. To me, the eagerness of a promoter to take money off the table is never a healthy sign. Founder Vikram Akula and CEO Suresh Gurumani sold a portion of their options, agreeing to lock in the rest for three years.

Investor response to the IPO was overwhelming, though many felt the shares were expensive at Rs 985 each. The track record of the company and the sound quality of its loan book were good reasons for investors to believe that its business model was scalable and that the premium valuation was justified.

SKS shares had a decent debut on the exchanges, gaining nearly 18 per cent on opening and ending the day around 10 per cent above the issue price. Its listing day performance would have been better had it not been for the weakness in the market. Still, the stock had a good run over the next month, climbing to around Rs 1,400.

But come October, and problems began cropping up for SKS, beginning with the abrupt resignation of CEO Suresh Gurumani over differences with founder Akula. The stock had been drifting lower for the past few weeks, and the power struggle within the board now put the stock under further pressure. But an even heavier blow was to fall a few days later. A spate of suicides by borrowers in Andhra Pradesh stirred the state government into issuing an ordinance to curb the activities of MFIs in the state.

The well-publicized story was that too many MFIs had sprung up in Andhra, and that agents of these firms were talking the poor into borrowing